UNDERSTANDING OF THE ENTITY AND ITS ENVIRONMENT - OWNERSHIP AND GOVERNANCE

SL. NO	HEADER	PARTICULARS	GUIDANCE	RESPONSE	
1	Ownership and governance structures	Document below the Shareholders / Owners & their percentile in the Entity	[Provide Work paper reference where the details are captured in more detail]		**CSV format 1**
2		Understand and document if there are beneficial owners (local, foreign, business reputation and experience). If there are beneficial owners other than the recorded owners of the Entity, the Audit Firm needs to reassess its client acceptance and continuance decision.			
3	Group structure	Obtain the overall Group Structure which describes the entities within the Group along with the nature of relationship and the entities of the overall Group which are outside the immediate upstream holding company of this Entity and the downstream structure to the Entity.			
4		Describe, if any, the Entity's investments in non-consolidated entities, including partnerships, joint ventures and special-purpose entities and the purpose of investment in those entities			
5		Describe, if any, the financial commitments (including support letters) provided by the Entity to entities outside the Group Structure			
6	Understanding Those Charged With Governance (TCWG)	Inquire with the Board of Directors 'Who is TCWG'?	The person(s) or organization(s) (e.g., a corporate trustee) with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process. For some entities, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager. **[Para 10(a) of SA 260]** Governance structures vary by entities, reflecting influences such as different cultural and legal backgrounds, and size and ownership characteristics. For example: • In some entities, a supervisory (wholly or mainly non-executive) board exists that is legally separate from an executive (management) board (a "two-tier board" structure). In other entities, both the supervisory and executive functions are the legal responsibility of a single, or unitary, board (a "one-tier board" structure). • In some entities, those charged with governance hold positions that are an integral part of the entity's legal structure, for example, company directors. In others, for example, some government entities, a body that is not part of the entity is charged with governance. • In some cases, some or all of those charged with governance are involved in managing the entity. In others, those charged with governance and management comprise different persons. • In some cases, those charged with governance are responsible for approving the entity's financial statements (in other cases management has this responsibility). Having responsibility for approving in this context means having the authority to conclude that all the statements that comprise the		

7		List the committees that have been identified as TCWG based on discussions with the Board of Directors	[It is possible that other sub-committees of the Board of Directors, other than the Audit Committee, like Risk Management Committee may also be considered as TCWG, if they deal with any matter that is included in the financial statements.]		
8		Document the details of TCWG members- Name, Designation, Experience and Stature, as below:			**CSV format 2**
9		Document the understanding how the Entity confirms on the Independence of TCWG from Management. In this regard perform inquiries with the Management/ Secretarial/ Human Resources (HR) team, as the case may be, and in case there is any evaluation of the independence checks carried out by involving any external agency etc., document the details and results of such evaluation.			
10		Document the understanding of the below, basis the discussion with TCWG:	(a) Describe the nature, timing and extent of the involvement/ oversight of TCWG on the - strategic directions, - obligations, - risk identification (including fraud risks) and review and approval of the risk mitigation plans, - internal controls - whistle-blower matters, - compliance with laws and regulations (including related party transactions), operations- including liquidity (asset-liability maturity) management, litigation and contingencies, compliance with key contractual obligations, - key management judgements and estimates (including fair valuation and impairment) - financial reporting and - such other processes of the Entity listed in the Charter of the identified TCWG; (b) the information the TCWG receives from the Management in this regard; and (c) describe the scrutiny activities performed by the TCWG including evidence maintained for such scrutiny. (d) The nature and extent of direct involvement in operations or other activities that may help management to prevent or detect misstatements in accounting information or identify controls that are not operating as intended.		
11	Understanding the Management	Who is the Management? Capture details of Entity Personnel, charged with executive and operational responsibility for the conduct of the Entity's operations	Management – The person(s) with executive responsibility for the conduct of the entity's operations. For some entities, management includes some or all of those charged with governance, for example, executive members of a governance board, or an owner-manager **[Ref: Para 10(b) of Standards on Auditing (SA) 260]** Ordinarily, the appropriate level of management is the one that has responsibility and authority to evaluate the deficiencies in internal control and to take the necessary remedial action. For significant deficiencies, the appropriate level is likely to be the chief executive officer or chief financial officer (or SA 265 10 equivalent) as these matters are also required to be communicated to those charged with governance. For other deficiencies in internal control, the appropriate level may be operational management with more direct involvement in the control areas affected and with the authority to take appropriate remedial action like Head of Procurement, Head of Sales, Head of Marketing, Head of Human Resources etc. **(Ref: Para 10 read with para A19 of SA 265)**		**CSV format 3**

12		Describe the performance expectations of each member of the Management as set by the TCWG, how the TCWG evaluated the performance of the respective Management along with the basis for the evaluation and evidence of the consideration points for such evaluation. Also describe any shortcomings identified by the TCWG in the performance of the respective Management		
13		Describe the Management's philosophy and operating style	Management's philosophy and operating style encompass a broad range of characteristics. For example, Management's attitudes and actions toward financial reporting may manifest themselves through conservative or aggressive selection from available alternative accounting principles, or conscientiousness and conservatism with which accounting estimates are developed. Characteristics such as (i) Management's approach to taking and managing business risks; (ii) Management's attitudes and actions toward financial reporting; (iii) Managements attitudes toward information processing and accounting functions and personnel; (iv) Effectiveness of the Management's communication to the employees regarding business practices and ethical behaviour; (v) Management's approach for communicating complaint and non-compliance **(Ref: Para 14(b) read with para A76 of SA 315)**	
14		The nature and extent of Key Management Personnel's direct involvement in operations or other activities that may help management to prevent or detect misstatements in accounting information or identify controls that are not operating as intended. (including self validations/checklists and interaction with internal auditor)		
15	Recent changes in Board of Directors (BoD), TCWG and/or KMP (including frequency)	Inquire the changes in the BoD, TCWG and/or KMP during the current period and any expected change, document the details of changes and reasons therein.	[Note: Where feasible conduct discussions with the said personnel exiting the Entity to understand the reasons]	
		Understand and update the document on the background information (KYC) of all the members of BoD / TCWG and or KPM in the event of inclusion of the new member, if any.	[Provide reference to the WP in the Permanent File where information up to Prior Periods is maintained]	